

	Consistent with Acosta's findings, Servpro reported during its inspection that the area behind the refrigerator was dry and that the backing of the kitchen wall appeared deteriorated. (SSUF 4) These facts demonstrate that water had been repeatedly and continuously leaking from the drain system over an extended period before the loss was reported. (SSUF 15, 17, 18) “It is now settled ... that an insurer denying or delaying the payment of policy benefits due to the existence of a genuine dispute with its insured as to the existence of coverage liability or the amount of the insured's coverage claim is not liable in bad faith even though it might be liable for breach of contract. [Citation.]” (<i>Jordan v. Allstate Ins. Co.</i> (2007) 148 Cal.App.4th 1062, 1073, internal citation omitted.) “To fulfill its implied obligation, an insurer must give at least as much consideration to the interests of the insured as it gives to its own interests.” (<i>Jordan v. Allstate Ins. Co.</i> (2007) 148 Cal.App.4th 1062, 1072.) In the context of the denial of insurance benefits, “ [t]here are at least two separate requirements to establish [a] breach of the implied covenant: (1) benefits due under the policy must have been withheld; and (2) the reason for withholding benefits must have been unreasonable or without proper cause.” (<i>Nargizyan v. State Farm General Ins. Co.</i> (2026) 120 Cal.App.5th 581, 600; internal citations omitted.) The linchpin of proving such a breach “is that the denial of coverage was unreasonable.”
--	---

		(<i>McCoy v. Progressive West Ins. Co.</i> (2009) 171 Cal.App.4th 785, 793; accord, <i>Nieto</i>, at p. 86, 103 Cal.Rptr.3d 906 [“The ultimate test is whether the insurer's conduct was unreasonable.”].) “[T]he reasonableness of the insurer's decisions and actions must be evaluated as of the time that they were made; the evaluation cannot fairly be made in the light of subsequent events that may provide evidence of the insurer's errors.” (<i>Id.</i> at p. 1073, internal citation omitted.) “ ‘While the reasonableness of an insurer's claims-handling conduct is ordinarily a question of fact, it becomes a question of law where the evidence is undisputed and only one reasonable inference can be drawn from the evidence.’ ” (<i>Nargizyan v. State Farm General Ins. Co.</i> (2026) 120 Cal.App.5th 581, 602, internal citations omitted.) In Opposition, Plaintiff points to an apparently new date of loss of June 2, 2023, and asserts that there were facts ignored in the investigation. But based on the Complaint, FAC, and Plaintiff's own admissions in discovery, and Plaintiff's own testimony in deposition, the loss occurred on June 12, 2023. (See Batezel Supp. Decl., Exs. 10, 12.) Plaintiff faults State Farm for not retaining a forensic engineer, performing destructive testing, inspecting the discarded SharkBite fitting (which was discarded before the claim was made), or conducting other investigative steps that Plaintiff now believes may have been helpful. (Opp., pp. 7-8, 25.)
--	--	--